

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

HISTORIC TAX CREDIT INVESTOR TERM SHEET

Draft discussion terms for a potential federal rehabilitation-credit investment; no fixed QRE, pricing, ownership percentage or investor return is represented

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It does not create a binding investment, lease, escrow, tax-credit, development or public-conveyance obligation unless and until definitive agreements are approved and executed by authorized parties. Programmed benchmarks and transaction-efficiency goals are design targets to be measured, not achieved results, forecasts, guarantees, or representations of savings or return.

Document code: DOC-08

1. Transaction Status and Purpose

This non-binding term sheet outlines a potential federal Historic Rehabilitation Tax Credit (HTC) investment structure for 312 Spring Commons. It is intended for discussion with HTC counsel, syndicators, investors, accountants, NPS/public-owner representatives and project capital advisers. No tax opinion, credit amount, investor yield, ownership allocation, exit value or closing date is represented.

The project expects a public grantee to hold fee title under the contemplated Historic Surplus pathway, with the rehabilitation/operating entity participating through a long-term lease or other approved structure. NPS states that private developers with long-term leases to historic-surplus recipients may be eligible for federal historic preservation tax incentives, subject to applicable tax rules and approvals.

2. Working Parties

Party	Working role
Public Grantee / Lessor — TBD	Proposed fee-title holder; grants approved long-term rights subject to federal/NPS covenants.
Master Tenant / Rehabilitation Entity — TBD	Potential taxpayer/project entity incurring eligible rehabilitation costs, subject to tax counsel.
HTC Investor — TBD	Provides capital under negotiated tax-credit investment documents.
Project Sponsor / People's Public Trust framework	Coordinates project, public-benefit mission and benchmark/reporting architecture; economic rights only as separately documented.
HTC Counsel / Tax Adviser — TBD	Determines eligible structure, QRE, lease requirements, credit allocation, recapture and exit mechanics.

3. Federal Credit Assumptions

- Current IRS guidance provides a 20% rehabilitation credit based on qualified rehabilitation expenditures (QREs) for a qualified rehabilitated historic building, generally allowed ratably over five years beginning with the placed-in-service year.
- The project does not assume that the full \$153M federal capital-maintenance reference qualifies as QRE. QRE must be separately modeled and validated.
- Working sensitivity only: if 70%–85% of a \$153M rehabilitation reference ultimately qualified as QRE, the face amount of the 20% credit would be approximately \$21.42M–\$26.01M. This is not a credit estimate or proceeds forecast.
- Actual investor capital is not necessarily equal to face credit value; pricing, timing, fees, tax benefits, losses, structure, guarantees and market conditions determine economics.

4. Proposed Structural Principles

- Fee title remains with the eligible public grantee; the HTC investor receives only the rights provided in the tax-credit project entity and definitive agreements.
- Long-term lease terms must satisfy applicable tax rules; IRS guidance notes that lessee QRE eligibility can depend on remaining lease term relative to the applicable recovery period.
- Project and tax-credit structure must remain compatible with the federal deed, NPS approvals, public-owner requirements and any Historic Surplus restrictions.
- No assumption is made that an investor must own 99% or that a “Year 6 flip” automatically applies. Allocation percentages and exit mechanics are TBD by tax counsel and investor underwriting.

- Any put/call, purchase option or investor exit must be documented at terms designed by counsel and supported by required valuation/tax analysis.

5. Indicative Capital Contribution Milestones

Installment / event	Illustrative condition
Initial closing contribution	Executed tax-credit documents; legal/tax opinions; approved lease/entity structure; investor KYC and closing conditions.
Construction / QRE milestone contributions	Verified eligible costs and agreed project milestones; no double counting with other restricted sources.
Substantial completion contribution	Required completion certifications and updated QRE schedule.
Placed-in-service / certification contribution	Placed-in-service evidence; NPS/IRS project documentation as required; final cost/QRE reporting.
Holdback / true-up	Final certification, audit and agreed post-closing conditions.

Contribution percentages and timing are TBD. The Capital Escrow & Draw Agreement should be conformed to the final HTC contribution schedule.

6. Representations, Covenants and Indemnities

- historic status and NPS certification process;
- QRE accounting and cost segregation;
- ownership/lease structure and tax-exempt-use analysis;
- construction completion and placed-in-service timing;
- no impermissible dispositions or structural changes during applicable compliance/recapture periods;
- accurate tax and project reporting;
- compliance with public deed/NPS restrictions;
- negotiated tax-credit indemnities, guaranties and reserves.

The scope, caps, duration, creditworthiness and security of any guaranty or indemnity are entirely TBD. No sponsor guaranty is implied by this draft.

7. Investor Rights and Limitations

- Investor governance rights are limited to the project/tax-credit entity and negotiated protective provisions; no right to control public fee title is intended.
- No investor foreclosure right against the public fee estate is represented.
- Transfer restrictions, consent rights, removal rights and major-decision rights are TBD and must remain compatible with public/NPS requirements.

8. TitleChain Evidence and Reporting

TitleChain may maintain a parallel audit record of the authoritative title state, lease rights, NPS/IRS document references, QRE support schedules, investor contribution milestones, placed-in-service evidence and approvals. Official NPS/IRS/tax/accounting records and executed agreements remain controlling. The digital title-state token does not represent the HTC investor's tax partnership interest unless separately and lawfully designed.

Programmed Benchmark Objectives

These baseline assumptions are deliberately programmed into the project as performance goals. They are intended to be measured transaction by transaction and updated as the PPT portfolio grows. They are not historical results, guaranteed savings, or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; no assumption that legally required services disappear
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after actual comparable cost categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where structure and risk reduction permit	Spread, fees, effective annualized cost, reserve burden
Third-party system/agent duplication	TBD baseline mapping	Minimize duplicated systems and repeated context transfer	Vendor count, connectors, model calls, reconciliation events

10. Conditions to HTC Closing

1. Historic Surplus/public-grantee pathway sufficiently resolved.
2. Long-term lease and entity structure acceptable to public owner, NPS, tax counsel and investor.
3. NPS certification pathway and rehabilitation plans acceptable for closing stage.
4. Independent rehabilitation budget and QRE model delivered.
5. Construction financing and sources/uses satisfactory.
6. Required legal/tax opinions and investor diligence completed.
7. Insurance, bonds, completion arrangements and reserves satisfactory.
8. Definitive operating agreement/partnership agreement, contribution agreement, guaranties and related tax-credit documents executed.

11. Non-Binding Effect

This term sheet is non-binding and does not constitute an offer, tax opinion, subscription, commitment or guarantee of credits. Definitive terms arise only from executed agreements approved by applicable counsel and authorized parties.

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, public-grantee structure, diligence list, occupancy and \$153M capital-maintenance reference.
- National Park Service, Historic Surplus Property Program: eligible public recipients may acquire qualifying historic surplus property at no cost; private/nonprofit operators may participate through NPS-approved long-term leases.
- IRS Rehabilitation Credit / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; lessee eligibility and lease-term requirements require tax counsel.
- CDFI Fund, New Markets Tax Credit Program: the investor credit totals 39% of the qualified equity investment over seven years through certified CDE structures; project/CDE eligibility remains to be established.
- U.S. Patent Nos. 11,720,888 and 12,518,273, “Decentralized title transfer and validation of assets”: distributed-ledger methods for recording asset provenance, ownership history, and transactions. Project implementation and patent-claim applicability remain subject to counsel.
- HTC structure must be specifically reviewed for tax-exempt-use, lease-term, public-ownership and Historic Surplus interactions before reliance.

M5Canon v0.2 Updates

Tax Authority Boundary

- TitleChain, M5Canon, CERs and digital evidence can support auditability of costs, certifications and timing, but they do not determine QRE status, credit amount, tax ownership, recapture, tax-exempt-use analysis or investor tax treatment. Those determinations remain subject to applicable law and qualified tax counsel/accountants.
- No automatic Year-6 flip, fixed investor percentage or tax-credit monetization amount is assumed unless established by definitive tax-credit documents.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.